

DUE DILIGENCE EOS · DUE-DILIGENCE MEMORANDUM

Riverside Medical Plaza

mixed-use medical office + ground-floor retail · \$28,500,000

Prepared: 6/14/2026, 10:31:26 AM Reviewer decision: **RENEGOTIATE****RED** Composite risk score: **75/100**

RECOMMENDATION

Due to critical zoning and legal issues, along with significant environmental risks, this deal should not proceed without substantial remediation of the highlighted findings. Immediate action is required to address these concerns before any further investment.

TOP FINDINGS

- **CRITICAL Zoning Non-Compliance: Intended Use Unlawful Under Current R-3 Zoning.** The intended commercial use is not compliant with the existing R-3 zoning designation, posing a significant risk to the project's viability.
- **CRITICAL Easement Contradiction: Deed vs. Contract.** Conflicting easement disclosures create legal uncertainty and potential access issues, which could hinder development.
- **CRITICAL Missing Rezoning / Conditional-Use Permit Contingency.** The absence of a contingency for necessary rezoning or conditional-use permits raises concerns about the legality of the intended use.
- **MATERIAL Environmental Contamination Assessment Absent.** Lack of an environmental assessment increases the risk of unforeseen liabilities related to contamination.
- **MATERIAL Flood Zone Status Undetermined.** Uncertainty regarding flood zone status could lead to additional costs and regulatory hurdles.

CONDITIONS PRECEDENT

- Obtain necessary zoning approvals and conditional-use permits.
- Resolve easement contradictions and ensure clear access rights.

- Conduct a Phase I Environmental Assessment to identify potential contamination.
- Clarify flood zone status and obtain necessary insurance.
- Address deferred maintenance issues prior to closing.

Renegotiation brief

The findings materially change the economics. Take the following back to the table:

- Re-trade on: Zoning Non-Compliance: Intended Use Unlawful Under Current R-3 Zoning
- Re-trade on: Easement Contradiction: Deed vs. Contract
- Re-trade on: Missing Rezoning / Conditional-Use Permit Contingency
- Re-trade on: Environmental Contamination Assessment Absent
- Re-trade on: Flood Zone Status Undetermined
- Reprice to reflect IRR falling from 8.5% to 6.2%

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